4. Foreign private sector by making rupee convertible on trade, on current account and by reducing import duties.

5. Foreign exchanges regulations were suitably amended

6. The Statutory Liquidity Ratio (SLR) was reduced to increase lending by RBI.

2.5 Multi National Corporation (MNC)

Multi National Corporation is a Corporate organization which owns or controls production of goods or services in at least one country other than its home country.

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Evolution of MNC

Like, the East India Company, which came to India as a trading company and then its net throughout the country to become politically dominant, these multinationals first start their activities in extractive industries or control raw materials in the host countries during 1920s and then slowly entered. In to the manufacturing and service sectors after 1950s. Most of the MNC's at present belong to the four major exporting countries viz., USA, UK, France, Germany. However, the largest is American. 11 of the 15 largest multinationals are Americans.

Growth of MNCs in India

A common form of MNC Participation in Indian industry is through entering into cooperation with Indian industrialist. Trends of liberalization in the 1980s gave a substantial spurt to foreign collaborations. This would be clear from the fact that of the total 12,760 foreign collaboration agreements signed between 1948-1988. As a result of liberalized foreign investment policy (FIP) announced in July-Aug 1991 there has a further spurt of foreign collaborations and increase flow of foreign direct investment.



MNC Company

Reasons for the growth MNC

1. Expansion of Market territory.

As the operations of large sized firm expand, it seeks more and more extension of its activates beyond the physical boundaries of the country in which it is in corporate.

2. Marketing superiorities:

A multinational firm enjoys a number of marketing superiorities over the national firms. It enjoys market reputation and faces less difficulty in selling its products and it adopt more effective advertising and sales promotion techniques.

3. Financial Superiorities

It has financial resources and high level of funds utilization. It has easier access of external capital markets. Because of its international reputation it is able to raise more international resources.

Top 10 Largest Multinational Companies in India 2018	
Sony Corporation	Nettle
Hew left Packard (HP)	Procter & Gamble
Tata Group	City Group
Microsoft Corporation	Pepsi Company
IBM	The Coca-Cola Company

4. Technological superiorities:

The main reason why MNCs have been encouraged by the underdeveloped countries to participate in their industrial development is on account of the technological superiorities which

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